AIA A102 - AGREEMENT BETWEEN OWNER AND CONTRACTOR (COST OF THE WORK PLUS FEE WITH A GMP), AS MODIFIED

Construction Agreement - Calder Works

Between Calder Works Owner LLC (Owner) and Tredegar Builders LLC (Contractor)

1. Date of commencement. The date of commencement of the Work shall be the date set forth in the notice to proceed issued by the Owner, which notice was issued on September 5, 2023, and the Contractor shall mobilize and commence physical work at the site on that date.

2. Guaranteed Maximum Price. The sum of the Cost of the Work and the Contractor's Fee is guaranteed not to exceed Thirty-Six Million Five Hundred Thousand Dollars ($36,500,000), which sum is allocated in Exhibit B among the rehabilitation of Buildings A and B, shell work on Building C and construction of the parking deck.

Article 2

Section 2.1 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be submitted to the State Historic Preservation Office for review by the National Park Service where required by the conditions of the Part 2 approval.

Section 2.2 Estoppel Certificates. Within ten business days after request by Calder Works Owner LLC, the Contractor shall deliver a certificate stating whether this Agreement is in full force and effect, whether it has been modified (and identifying any modification), the dates through which amounts payable hereunder have been paid, and whether, to the knowledge of the certifying party, any default exists. Any such certificate may be relied upon by any prospective lender, investor or purchaser.

Section 2.3 Subcontracts. The Contractor shall bind each Subcontractor to the terms of the Contract Documents, including the historic conditions, and shall not permit any Subcontractor to execute a change directive affecting a historic feature on its own authority.

Section 2.4 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 2.5 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of the Contractor beyond those expressly stated herein.

Section 2.6 Events of Default. Each of the following shall constitute an Event of Default: (a) failure to pay any amount when due and continuance of such failure for ten days; (b) any representation proving untrue in any material respect when made; (c) failure to perform any other covenant within thirty days after notice; (d) the filing of any lien against the Property not bonded or discharged within thirty days; or (e) any material adverse change in the condition of the Property or the Borrower.

Section 2.7 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 2.8 Time of the Essence. Time is of the essence with respect to each provision of this Agreement in which a time for performance is specified. If the last day for the performance of any obligation falls on a day that is not a business day, the time for performance shall be extended to the next succeeding business day.

Section 2.9 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 2.10 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Section 2.11 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 2.12 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of the Contractor beyond those expressly stated herein.

Article 3

Section 3.1 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 3.2 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 3.3 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 3.4 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 3.5 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be submitted to the State Historic Preservation Office for review by the National Park Service where required by the conditions of the Part 2 approval.

Section 3.6 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Section 3.7 Subcontracts. The Contractor shall bind each Subcontractor to the terms of the Contract Documents, including the historic conditions, and shall not permit any Subcontractor to execute a change directive affecting a historic feature on its own authority.

Section 3.8 Representations Regarding the Property. the Contractor represents that, to its knowledge, there are no pending or threatened actions, suits or proceedings affecting the Property; that it has not received any notice of violation of any law affecting the Property that remains uncured; and that the plans and specifications for the rehabilitation have been prepared in accordance with the approved Part 2 application and all conditions thereto.

Section 3.9 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of the Contractor beyond those expressly stated herein.

Section 3.10 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 3.11 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 3.12 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Article 4

Section 4.1 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 4.2 Management Standards. The Manager shall operate the Property in a manner consistent with first-class residential properties of similar age and type in the Lynchburg metropolitan area, shall use diligent efforts to lease units at market rents, shall collect rents and other income, and shall cause all repairs and maintenance to be performed in a good and workmanlike manner in accordance with the approved budget.

Section 4.3 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 4.4 Draw Requests. Each request for an advance shall be submitted on the Lender's standard form not later than the fifteenth day of the month, accompanied by an AIA G702/G703 application for payment certified by the Architect, lien waivers from the General Contractor and each subcontractor for the prior advance, an updated construction schedule and such other documents as the Lender may reasonably require.

Exhibit A - Scope of Work

1. Rehabilitation of Buildings A and B; shell and envelope work on Building C; new structured parking deck.

2. All work affecting features identified in the Approved Part 2 Application shall comply with the conditions of that approval.

Section 4.5 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 4.6 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 4.7 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 4.8 Remedies Cumulative. Except as otherwise expressly provided, the rights and remedies of the parties under this Agreement are cumulative and not exclusive of any rights or remedies that they may otherwise have at law or in equity. The exercise of any one right or remedy shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 4.9 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be submitted to the State Historic Preservation Office for review by the National Park Service where required by the conditions of the Part 2 approval.

Section 4.10 Books and Records. the Contractor shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to Calder Works Owner LLC and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.

Section 4.11 Subcontracts. The Contractor shall bind each Subcontractor to the terms of the Contract Documents, including the historic conditions, and shall not permit any Subcontractor to execute a change directive affecting a historic feature on its own authority.

Section 4.12 Insurance. During the term of this Agreement, the Contractor shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as Calder Works Owner LLC may reasonably require. Each policy shall name Calder Works Owner LLC as an additional insured and shall provide for thirty days' prior written notice of cancellation.

Specification Section 04 20 00 - Unit Masonry and Architectural Terra Cotta

1. Architectural terra cotta. Retain and repair in place the existing terra cotta cornice and frieze of Building A in accordance with NPS Condition 1. Units documented in the Architect's conditions survey as deteriorated beyond repair shall be replaced with new terra cotta units matching the original in body, glaze color, profile and finish. Substitute materials shall not be used without a Change Order approved by the Owner and the Architect following NPS review.

Article 5

Section 5.1 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of the Contractor beyond those expressly stated herein.

Section 5.2 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Section 5.3 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 5.4 Assignment. the Contractor shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of Calder Works Owner LLC, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 5.5 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 5.6 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 5.7 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 5.8 Accounting and Tax Matters. The fiscal year of the Company shall be the calendar year. The Company shall prepare and file all federal, state and local tax returns required to be filed by it and shall deliver to each Member, within seventy-five days after the end of each fiscal year, a Schedule K-1 and such other information as the Member may reasonably require to prepare its own returns.

Section 5.9 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 5.10 Compliance with Laws. the Contractor shall comply in all material respects with all laws, ordinances, rules, regulations and orders of governmental authorities applicable to the Property and its operation, including building codes, fire safety regulations, environmental laws, fair housing laws and the requirements of the Americans with Disabilities Act, and shall obtain and maintain all permits and licenses required in connection therewith.

Section 5.11 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 5.12 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Article 6

Section 6.1 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be submitted to the State Historic Preservation Office for review by the National Park Service where required by the conditions of the Part 2 approval.

Section 6.2 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Section 6.3 Subcontracts. The Contractor shall bind each Subcontractor to the terms of the Contract Documents, including the historic conditions, and shall not permit any Subcontractor to execute a change directive affecting a historic feature on its own authority.

Section 6.4 Retainage. The Lender shall retain ten percent of each advance for hard costs until the Project is fifty percent complete, as certified by the Lender's inspecting engineer, and five percent thereafter. Retainage shall be released upon substantial completion of the applicable Building, receipt of a certificate of occupancy and final lien waivers, and satisfaction of all punch list items.

Section 6.5 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of the Contractor beyond those expressly stated herein.

Section 6.6 No Third-Party Beneficiaries. Nothing in this Agreement, express or implied, is intended to or shall confer upon any person other than the parties and their respective successors and permitted assigns any legal or equitable right, benefit or remedy of any nature whatsoever under or by reason of this Agreement, except as expressly provided with respect to indemnified persons.

Section 6.7 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 6.8 Environmental Matters. the Contractor shall not cause or permit any hazardous substance to be generated, stored, released or disposed of on or from the Property except in compliance with applicable environmental laws. the Contractor shall promptly notify Calder Works Owner LLC of any release, claim or notice of violation and shall undertake, at its cost, any remediation required by any governmental authority having jurisdiction.

Section 6.9 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 6.10 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 6.11 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 6.12 Tax Matters Partner. The Managing Member is designated as the partnership representative of the Company within the meaning of Section 6223 of the Code. The partnership representative shall not settle any audit, extend any statute of limitations or file any petition with respect to Company tax items without the prior written consent of the Investor Member, and shall keep the Investor Member informed of all material communications with taxing authorities.

Article 7

Section 7.1 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 7.2 Indemnification. the Contractor shall indemnify, defend and hold harmless Calder Works Owner LLC and its members, managers, officers, employees and agents from and against any and all losses, liabilities, damages, costs and expenses, including reasonable attorneys' fees, arising out of (a) any breach of any representation, warranty or covenant of the Contractor contained herein, (b) the gross negligence or willful misconduct of the Contractor, or (c) any claim by a third party relating to the condition of the Property prior to the Effective Date.

Section 7.3 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 7.4 Confidentiality. Each party shall hold in confidence all non-public information furnished by the other party in connection with this Agreement and shall not disclose such information to any person other than its attorneys, accountants, lenders, investors and advisors who have a need to know and are bound by obligations of confidentiality, except as required by law, regulation or the order of a court or governmental authority.

Section 7.5 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be submitted to the State Historic Preservation Office for review by the National Park Service where required by the conditions of the Part 2 approval.

Section 7.6 Interpretation. The headings in this Agreement are for convenience only and shall not affect its interpretation. Words in the singular include the plural and vice versa. The words 'include', 'includes' and 'including' are deemed followed by 'without limitation'. References to Sections, Exhibits and Schedules are to those of this Agreement unless otherwise stated. Defined terms used in an Exhibit have the meanings given in the body of this Agreement unless the Exhibit provides otherwise.

Section 7.7 Subcontracts. The Contractor shall bind each Subcontractor to the terms of the Contract Documents, including the historic conditions, and shall not permit any Subcontractor to execute a change directive affecting a historic feature on its own authority.

Section 7.8 Force Majeure. Neither party shall be liable for any delay or failure in performance (other than the payment of money) caused by events beyond its reasonable control, including acts of God, fire, flood, epidemic, war, terrorism, labor disputes not involving the affected party's employees, governmental action or unavailability of materials, provided that the affected party gives prompt notice and uses commercially reasonable efforts to resume performance.

Section 7.9 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of the Contractor beyond those expressly stated herein.

Section 7.10 Compensation of Manager. As full compensation for its services, the Manager shall receive a monthly management fee equal to four percent of gross collected revenues of the Property, payable in arrears on the tenth day of each month. No leasing commission, construction supervision fee or other compensation shall be payable to the Manager or its affiliates except as approved in writing by the Owner.

Section 7.11 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 7.12 Entire Agreement. This Agreement, together with the Exhibits and Schedules attached hereto, constitutes the entire agreement among the parties with respect to its subject matter and supersedes all prior and contemporaneous agreements, term sheets, letters of intent, presentations and understandings, whether written or oral. No statement in any offering material, investor presentation or summary shall modify the terms hereof unless expressly incorporated by written amendment.

Article 8

Section 8.1 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 8.2 Estoppel Certificates. Within ten business days after request by Calder Works Owner LLC, the Contractor shall deliver a certificate stating whether this Agreement is in full force and effect, whether it has been modified (and identifying any modification), the dates through which amounts payable hereunder have been paid, and whether, to the knowledge of the certifying party, any default exists. Any such certificate may be relied upon by any prospective lender, investor or purchaser.

Section 8.3 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 8.4 Warranty of Work. The Contractor warrants that all materials and equipment furnished under this Agreement will be new unless otherwise specified, of good quality and free from defects, and that the Work will conform to the Contract Documents. The Contractor shall correct any Work found to be defective within one year after substantial completion of the applicable Building.

Section 8.5 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 8.6 Events of Default. Each of the following shall constitute an Event of Default: (a) failure to pay any amount when due and continuance of such failure for ten days; (b) any representation proving untrue in any material respect when made; (c) failure to perform any other covenant within thirty days after notice; (d) the filing of any lien against the Property not bonded or discharged within thirty days; or (e) any material adverse change in the condition of the Property or the Borrower.

Section 8.7 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 8.8 Time of the Essence. Time is of the essence with respect to each provision of this Agreement in which a time for performance is specified. If the last day for the performance of any obligation falls on a day that is not a business day, the time for performance shall be extended to the next succeeding business day.

Section 8.9 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be submitted to the State Historic Preservation Office for review by the National Park Service where required by the conditions of the Part 2 approval.

Section 8.10 Budgets and Operating Plans. Not later than sixty days before the start of each fiscal year, the Managing Member shall prepare and deliver to the Investor Member a proposed annual operating budget for the Property. Any budget that increases total operating expenses by more than ten percent over the prior year, or that provides for any capital expenditure in excess of $100,000, shall require the approval of the Investor Member.

Section 8.11 Subcontracts. The Contractor shall bind each Subcontractor to the terms of the Contract Documents, including the historic conditions, and shall not permit any Subcontractor to execute a change directive affecting a historic feature on its own authority.

Section 8.12 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of the Contractor beyond those expressly stated herein.

Article 9

Section 9.1 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of the Contractor beyond those expressly stated herein.

Section 9.2 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 9.3 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 9.4 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 9.5 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 9.6 Reserves. The Company shall establish and maintain an operating reserve and a replacement reserve in the amounts required by the Lender and the Investor Member. Withdrawals from the operating reserve shall be made only to fund operating deficits, and withdrawals from the replacement reserve shall be made only for capital repairs and replacements approved in the annual budget or otherwise approved by the Investor Member.

Section 9.7 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 9.8 Representations Regarding the Property. the Contractor represents that, to its knowledge, there are no pending or threatened actions, suits or proceedings affecting the Property; that it has not received any notice of violation of any law affecting the Property that remains uncured; and that the plans and specifications for the rehabilitation have been prepared in accordance with the approved Part 2 application and all conditions thereto.

Section 9.9 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 9.10 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be reviewed by the Owner's historic consultant and, where required by the conditions of the Part 2 approval, submitted to the State Historic Preservation Office for review by the National Park Service.

Section 9.11 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 9.12 Representations of Authority. Each party represents and warrants that it is duly organized, validly existing and in good standing under the laws of the jurisdiction of its formation; that it has full power and authority to enter into and perform this Agreement; that the execution, delivery and performance of this Agreement have been duly authorized by all necessary action; and that this Agreement constitutes its legal, valid and binding obligation, enforceable in accordance with its terms.

Article 10

Section 10.1 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be submitted to the State Historic Preservation Office for review by the National Park Service where required by the conditions of the Part 2 approval.

Section 10.2 Management Standards. The Manager shall operate the Property in a manner consistent with first-class residential properties of similar age and type in the Lynchburg metropolitan area, shall use diligent efforts to lease units at market rents, shall collect rents and other income, and shall cause all repairs and maintenance to be performed in a good and workmanlike manner in accordance with the approved budget.

Section 10.3 Subcontracts. The Contractor shall bind each Subcontractor to the terms of the Contract Documents, including the historic conditions, and shall not permit any Subcontractor to execute a change directive affecting a historic feature on its own authority.

Section 10.4 Draw Requests. Each request for an advance shall be submitted on the Lender's standard form not later than the fifteenth day of the month, accompanied by an AIA G702/G703 application for payment certified by the Architect, lien waivers from the General Contractor and each subcontractor for the prior advance, an updated construction schedule and such other documents as the Lender may reasonably require.

Section 10.5 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of the Contractor beyond those expressly stated herein.

Section 10.6 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 10.7 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 10.8 Remedies Cumulative. Except as otherwise expressly provided, the rights and remedies of the parties under this Agreement are cumulative and not exclusive of any rights or remedies that they may otherwise have at law or in equity. The exercise of any one right or remedy shall not preclude the concurrent or subsequent exercise of any other right or remedy.

Section 10.9 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 10.10 Books and Records. the Contractor shall keep complete and accurate books of account and records with respect to the Property and the transactions contemplated hereby, in accordance with generally accepted accounting principles consistently applied, and shall make such books and records available to Calder Works Owner LLC and its representatives for inspection and copying at reasonable times upon not less than five business days' prior notice.

Section 10.11 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 10.12 Insurance. During the term of this Agreement, the Contractor shall maintain, at its sole cost, commercial general liability insurance with limits of not less than $1,000,000 per occurrence and $2,000,000 in the aggregate, builder's risk insurance on a completed value basis, and such other coverage as Calder Works Owner LLC may reasonably require. Each policy shall name Calder Works Owner LLC as an additional insured and shall provide for thirty days' prior written notice of cancellation.

Article 11

Section 11.1 Severability. If any term or provision of this Agreement, or the application thereof to any person or circumstance, shall to any extent be held invalid or unenforceable, the remainder of this Agreement, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Agreement shall be valid and enforced to the fullest extent permitted by law.

Section 11.2 Amendments. No amendment, modification, supplement or waiver of any provision of this Agreement shall be effective unless set forth in a writing signed by each party against whom enforcement is sought. Any Exhibit may be replaced only by an amendment that expressly identifies the Exhibit being replaced; absent such identification, the Exhibit attached on the Effective Date shall continue to control.

Section 11.3 Counterparts. This Agreement may be executed in any number of counterparts, each of which shall be deemed an original and all of which together shall constitute one and the same instrument. Signatures delivered by facsimile, portable document format or other electronic means shall be deemed original signatures for all purposes, and the parties agree to accept such signatures as binding.

Section 11.4 Assignment. the Contractor shall not assign, transfer or delegate any of its rights or obligations under this Agreement, whether voluntarily, by operation of law or otherwise, without the prior written consent of Calder Works Owner LLC, which may be withheld in its sole discretion. Any purported assignment in violation of this Section shall be null and void. Subject to the foregoing, this Agreement shall bind and benefit the parties and their respective successors and permitted assigns.

Section 11.5 Change Orders. No change in the Work shall be made except by written Change Order signed by the Owner, the Contractor and the Architect. Any Change Order affecting a historic feature identified in the Part 2 application shall, before execution, be submitted to the State Historic Preservation Office for review by the National Park Service where required by the conditions of the Part 2 approval.

Section 11.6 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 11.7 Subcontracts. The Contractor shall bind each Subcontractor to the terms of the Contract Documents, including the historic conditions, and shall not permit any Subcontractor to execute a change directive affecting a historic feature on its own authority.

Section 11.8 Accounting and Tax Matters. The fiscal year of the Company shall be the calendar year. The Company shall prepare and file all federal, state and local tax returns required to be filed by it and shall deliver to each Member, within seventy-five days after the end of each fiscal year, a Schedule K-1 and such other information as the Member may reasonably require to prepare its own returns.

Section 11.9 Further Assurances. Each party shall execute and deliver such additional instruments, certificates and documents, and take such further action, as Calder Works Owner LLC may reasonably request from time to time to carry out the intent of this Agreement, including any instrument reasonably required to perfect, preserve or protect the rights granted under this Agreement, provided that no such instrument shall enlarge the obligations of the Contractor beyond those expressly stated herein.

Section 11.10 Compliance with Laws. the Contractor shall comply in all material respects with all laws, ordinances, rules, regulations and orders of governmental authorities applicable to the Property and its operation, including building codes, fire safety regulations, environmental laws, fair housing laws and the requirements of the Americans with Disabilities Act, and shall obtain and maintain all permits and licenses required in connection therewith.

Section 11.11 Notices. All notices, consents, approvals and other communications required or permitted under this Agreement shall be in writing and shall be deemed given (i) when delivered personally, (ii) one business day after deposit with a nationally recognized overnight courier, or (iii) three business days after mailing by certified mail, return receipt requested, in each case addressed to the party at the address set forth on the signature page or such other address as that party may designate by notice. Electronic mail shall be effective only if followed by one of the foregoing methods.

Section 11.12 Dissolution. The Company shall dissolve and its affairs shall be wound up upon the first to occur of (a) the sale or other disposition of all or substantially all of its assets, (b) the written consent of all Members, or (c) the entry of a decree of judicial dissolution. Upon dissolution, the assets of the Company shall be applied in the order of priority set forth in Section 10.3.

Article 12

Section 12.1 Governing Law. This Agreement and all claims arising out of or relating to it shall be governed by the laws of the Commonwealth of Virginia, without regard to principles of conflicts of law that would require the application of the laws of another jurisdiction. Each party irrevocably submits to the jurisdiction of the state and federal courts sitting in the City of Richmond for the resolution of any dispute hereunder and waives any objection to venue in such courts.

Section 12.2 Removal of Managing Member. The Investor Member may remove the Managing Member upon the occurrence of any of the following: (i) fraud, gross negligence or willful misconduct; (ii) a material breach of this Agreement not cured within thirty days after notice; (iii) the bankruptcy of the Managing Member or any Guarantor; or (iv) any action or omission that results in a recapture or disallowance of the Credits.

Section 12.3 Waiver of Jury Trial. TO THE FULLEST EXTENT PERMITTED BY APPLICABLE LAW, EACH PARTY KNOWINGLY, VOLUNTARILY AND INTENTIONALLY WAIVES ANY RIGHT IT MAY HAVE TO A TRIAL BY JURY IN ANY ACTION OR PROCEEDING ARISING OUT OF OR RELATING TO THIS AGREEMENT OR THE TRANSACTIONS CONTEMPLATED HEREBY. THIS WAIVER IS A MATERIAL INDUCEMENT FOR EACH PARTY TO ENTER INTO THIS AGREEMENT.

Section 12.4 Retainage. The Lender shall retain ten percent of each advance for hard costs until the Project is fifty percent complete, as certified by the Lender's inspecting engineer, and five percent thereafter. Retainage shall be released upon substantial completion of the applicable Building, receipt of a certificate of occupancy and final lien waivers, and satisfaction of all punch list items.